

they are worth. Plus, they give themselves huge perks and bonuses, far more than they deserve. Top ones create a cult of personality to convince the “lumpeninvestoriat” that they are responsible for the firm’s achievements (which they have often jiggled and jived to flatter their own performance). It is a cynical truism that if people can get away with something, they will often try to do so. Managers of large public companies have been able to get away with a hideously large portion of the company’s earnings—and often with its capital, too.

MORALE AND WHY IT SHOULDN’T MATTER

As mentioned earlier in this book, managers of public companies tend to be very short-term oriented, too. Their bonuses depend on quarterly or annual results. And their retirements are often larded up with the kind of cash and benefits that would make a pharaoh blush with shame. Their goal, typically, is to get as much as they can out of the company in the shortest time possible. This goal of the leaders is then transmitted throughout the whole business. All employees begin to take a short-term view. They come in and collect a signing bonus. They leave and collect a “golden parachute” severance bonus. Goals are set for quarterly earnings. Objectives rarely go out further than a few years. And soon the business is operating like a bank, where the profits are paid out in bonuses before they are even earned. Banks pay bonuses to employees for lending money. They don’t even wait to see if the money comes back.

One of the justifications for overpaying managers is that shareholders feel they must keep them happy. That is a bad idea. Good shareholders don’t care if managers are happy or not. What they should care about is whether the customers are happy. Good managers will care about that, too.

This is related to another insight. Not only must a business be started by “outsiders,” it must continue to focus itself on the world outside of itself. Often, while shareholders believe they must keep management happy, managers believe they must keep the employees happy. This is a big